



# Salary Policy Implementation

---

## **BioMar Group**

Kalkværksvej 16, 15.

8000 Aarhus C

Denmark

[www.biomar.com](http://www.biomar.com)



In BioMar, we acknowledge that results are created by people. The ability to attract, retain and motivate the right people is essential for living our purpose and delivering on our strategy. Remuneration is an important element in our employee value proposition. A competitive salary offering enables us to run a healthy business.

As a company, we have a responsibility to protect and promote human rights. Our commitment to ethical salary standards mean we are enabling our employees and their families to live a dignified life. At the same time we promote and demonstrate fair and equal remuneration across geographies and cultures.

While remuneration may not be the primary driver of our purpose, we must live our fundamental principles related to pay. This will enable us to establish and maintain a strong employee value proposition and take responsibility as employer, focusing on what is important - innovating for an efficient and sustainable aquaculture industry.

Salary is defined as the sum of base salary, allowances, incentives, and benefits. While some components are paid in cash, others have a cash value such as health/life insurance, medical assistance, retirement fund contributions, company car, etc.

## Scope and field of application

This policy specifies the principles for handling compensation and benefits in BioMar Group and applies to the entire group including JV companies. It applies to all employees regardless of whether they are subject to collective agreement or not.

However, where employees are subject to collective agreements, the salary process will follow country specific and/or local processes to ensure compliance with legislative and local agreements.

## Organisation

PPC (People, Purpose & Communication) is the owner of BioMar Salary Policy and responsible for the general compensation and benefit practice in BioMar. PPC is responsible for supporting position evaluations and salary evaluations for management levels.

Responsibility for local salary practice lies with Global Directors, VP's, and MD's as principal owners. At this level it is decided who will be responsible for Salary Reviews and for communication related to compensation and benefits.

Local HR supports the process at local site level. Where no local HR exists, the local MD will be responsible for defining who will support the process locally.



Local practice for incentives and benefits will be decided by local management in collaboration with Local HR and PPC and Global Finance. All changes in general practice must be agreed with Global HR.

## Policy Statement

Transparency with respect to salary principles is a critical element of fair and equal pay. In BioMar, we are committed to four fundamental principles related to pay:

- Fair and equal pay for all
- Commitment to living wages
- Respectful pay dialogues
- Protection of employee entitlements

The BioMar Salary Policy and the implementation guidelines are based on the principles and standards defined by the International Labour Organization (ILO) and the United Nations Guiding Principles on Business and Human Rights, and the 17 Sustainable Development Goals) together with industry standards including ASC, GlobalG.A.P and BAP.

### Principle 1: Fair and equal pay for all

Our policy means that all pay decisions are based upon:

- Job Evaluation
- Local Market Practice
- Employee Performance

#### Job Evaluation

The evaluation method must address:

- Knowledge and competences required in the position

- Complexity in the tasks handled in the position
- The accountability of the role

#### Defining Local Market Practice

#### Defining Job Level

Using benchmarks to define the relevant base salary span, allowances incentives and benefits for the position

Understanding the size of the role by using objective criteria

#### Adjustment to performance level

Defining right base salary for the specific employee based upon long term performance

In BioMar, we pay our people fair and equal pay. We do not tolerate difference in pay based upon criteria such as gender, religious belief, ethnicity, nationality, sexual orientation, age, disability, political affiliation, caste, union membership, legal status, pregnancy, parental status or marital status.

The application of this evaluation criteria creates an objective and fair process in determining salary at the correct level.



BioMar's salary evaluation process and compensation analytics use registered employee data which must be collected in accordance with local legislation and our data protection policy.

Our starting point for defining base salary (as well as allowances, benefits, and incentives) is the evaluation of each job (the job description) and not the person.

Role evaluations will be carried out in collaboration with external advisors, HR, and global/local management.

### **Local Market Practice**

Due to the need to stay competitive in all our markets, BioMar Group incentives and benefits are continuously adjusted in accordance with local market practise. Hence, employees in different countries will have different entitlement and distribution of compensation and benefits.

BioMar works continuously to remain one of the most attractive employers for the total employee experience, which embraces factors such as work environment, development, manager support, pay etc.

In BioMar, we benchmark our base salaries based on solid and up-to-date data retrieved from the databases provided by recognised benchmarking sources. These benchmarks provide us with an understanding of the market median, our internal median and the general distribution in pay.

The pay of a position must always be based on the country benchmarks in the country where the position is based (office location), unless the pay of the position is defined based upon our Mobility Policy or other specific circumstances approved by PPC.

We strive to achieve that the median of our base salaries in a country corresponds to local market median within 90th and 105th quantile. Deviations to this span must be approved by PPC.

All benchmarks retrieved are based on segments that are comparable to our industry. This means that we aim to achieve benchmarks based on:

- Companies in the same geographical area
- Companies within production of food/feed (or FMCG)
- Companies with industrial production

We do not benchmark with companies within Retail, Oil & Gas, Finance, Service and Mining as those companies very often have different working conditions and pay structures that what we do see in our industry. Hence salaries are not always comparable.

### **Individual performance**



When defining how a specific employee should be paid for the job, we are committed to use the general principles of Pay for Performance. This means that an employee should be paid for his/her work based on the results achieved: People consistently being high performers being paid above the median and good performers being paid on the median. When using Pay for Performance in combination with solid salary benchmarks, we are able to adjust salaries within the right limits.

| Pay Guidelines        |                      |                    |                        |
|-----------------------|----------------------|--------------------|------------------------|
| Performance Level     | Below/New            | Good               | Above                  |
| Quantile of Benchmark | 80-90 (below median) | 90-105 (on median) | 100-120 (above median) |

Both base salary and incentives must be linked to individual performance. Base salary is regulated based on the long-term performance level of the employee while a part of the short-term incentives (bonus) will be linked directly to employee performance on performance targets for the year.

### Incentives

Employees following the corporate incentive scheme must be incentivised according to the Incentive Scheme for Corporate Functions. Other incentive schemes must reflect pay practise in the local market and be agreed with Group CFO and VP PPC

## Principle 2: Commitment to living wages

We believe all employees across the globe are entitled to live a dignified life, receiving a wage that negates the need for working overtime or engaging in other employment.

In BioMar, we are committed to the goal that each employee is being paid above the living wage level for their their location.

If pay is evaluated to be below local living wage level, an action plan must be initiated to adjust pay or start job development/upskilling.

Base salary must never be below legal minimum wage.

## Principle 3: Respectful pay dialogues

Salaries must be evaluated by means of a salary review process on a regular basis. This process must be clearly communicated and understood by the employees. To maintain confidence in the fairness of our salary levels, they must be measured against trustworthy external and internal salary benchmarks.



Additionally, all employees must understand how to initiate a pay dialogue or address concerns related to pay. Where the employees choose to negotiate through employee representation or collective negotiations by union, we commit that such processes are facilitated in a respectful way.

| Example: Ordinary Salary Adjustment frame: 3,5% |               |                |                |
|-------------------------------------------------|---------------|----------------|----------------|
| Actual Salary                                   | Low Performer | Good performer | High Performer |
| 75-90 Quantile                                  | 1,5%          | 4,0%           | 5,5%           |
| 85-110 Quantile                                 | 1,0%          | 3,5%           | 4,5%           |
| 110-130 Quantile                                | 0,5%          | 2,0%           | 3,5%           |

During the salary review process, the general span of salary adjustment is decided upon, based upon budget and general market development. Decisions on the general level of adjustments must be agreed with MD and Group CFO, while extraordinary adjustments for individual employees need to comply with our salary policy. The general salary adjustment frame must reflect trends in inflation and salary development in the country in scope. However, special company circumstances can result in a lower adjustment frame to meet temporary business requirements.

Salary Communi- cation

Budget

Salary Review

PDD

Deploying general salary adjustments to the organisation, individual managers must be able to recommend on a distributing of the adjustment frame within the team. Extraordinary adjustments must be applied when employees cannot in a timely manner be accelerated to the right level of pay within the ordinary adjustment framework.

The budget frame for both types of adjustments are made the year before based on a combined assessment of the need for salary adjustments and the financial capabilities the business.

All units must define the dates and details of the yearly cycle and communicate these to Global HR.

Salary Reviews for positions in global functions located outside the country of the corporate office must always be conducted in collaboration between local MD/HR in the host country and immediate manager and managers manager. The adjustments should follow the local adjustment process and it is the responsibility for local HR to include relevant global functions in the process.



## Principle 4: Protection of employee entitlements

Salaries must be paid in legal tender at agreed regular intervals and paid directly to employees. At no time will payments be delayed, deferred or in any way withheld. All details related to the wage payment will be documented, including but not limited to receipt of information on advances, hours worked, pay and calculation of any deductions.

In BioMar, we do not accept disciplinary sanctions that impact employee guaranteed pay. A deduction of wages or benefits will not be used as a means of disciplinary action, and at no time will an employee's salary, property or benefits be withheld even if local regulation allows for this. The only exceptions are situations where deductions are imposed from the authorities. Workers are not required to purchase from BioMar operated stores or services.

As a part of the employment, we offer a designated area to consume food during breaks. All meals offered through these stores or services are offered at a reasonable price. We offer transportation solutions to our employees when the workplace is not readily accessible and public transportation and/or private means of transportation are not available. Employees shall not be required to reside in employer-operated accommodation as a condition of employment.

Where BioMar offers dormitory facilities as a benefit for personnel and/or their family, we guarantee it to be clean, hygienic, safe, and meet basic needs, whether owned, leased or contracted from a service provider. Any rent must be reasonable and must not include a profit. Dormitories shall be located separately from production facilities and appropriate sanitary facilities must be clean and provide adequate privacy, including separation by gender if required.

Every worker has the right to terminate their employment with BioMar and with the provision of reasonable notice to fully receive all entitled salary and benefits.

## 13. References

BioMar documents: (If no date is given, the latest issue applies)

Incentive Schemes for group functions at BioMar Group

#### Version history

#### Owner and approver

Version 1: 20-01-2026

Owner: VP People, Purpose & Communication

Approval date: 20-01-2026

Approver: Executive Committee



**Powered by Partnership  
Driven by Innovation**

[www.biomar.com](http://www.biomar.com)